



Applied Cryptography

Summer 2026

Part 2: Real-World Cryptography

2.4: End-to-End Encrypted Cloud Storage

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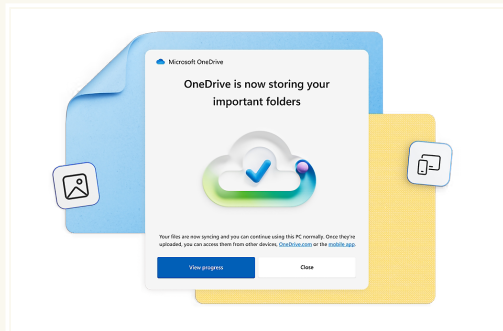
<https://appliedcryptography.page>

Section 1

Introduction

Cloud storage today

- Cloud storage is a prevalent computing paradigm today
- Outsources data storage to third-party services
- Benefits for users:
 - No need to worry about backups
 - High data availability
 - Access data from anywhere
- Major providers (Google, Microsoft, Apple, Amazon) control encryption keys



Microsoft OneDrive is an example of a popular cloud storage service.

Regular vs End-to-End Encrypted Cloud Storage

Regular Cloud Storage

(e.g., OneDrive, Google Drive)

- **Transport encryption:** TLS protects data in transit
- **Encryption at rest:** Provider encrypts on their servers
- **Provider controls keys:** Can decrypt your data

E2E Encrypted Storage

(e.g., MEGA, Nextcloud)

- **Client-side encryption:** Data encrypted before upload
- **User controls keys:** Provider never sees plaintext
- **Confidentiality:** Provider learns nothing about content

Regular vs End-to-End Encrypted Cloud Storage

Regular Cloud Storage

(e.g., OneDrive, Google Drive)

Risks:

- Provider breach exposes data
- Government requests
- Insider threats
- Provider can analyze content

E2E Encrypted Storage

(e.g., MEGA, Nextcloud)

Guarantees:

- Provider breach reveals nothing
- Government gets encrypted data
- No insider access to content
- Provider can only analyze metadata

End-to-End Encryption (E2EE) for cloud storage

- Alternative approach: Users encrypt before uploading
- Users control their own encryption keys
- Security guarantees:
 - Cryptographic confidentiality
 - Authenticity and integrity protection
 - Provider can't read file contents
 - Provider can't modify files undetectably
- Security maintained even if service is compromised
- Ideally secure against malicious service providers

Key management challenges

- Key management delegated to users
- Humans are poor at memorizing cryptographic keys
- Security typically bootstrapped from passwords
- Fundamental limitation: Dictionary attacks possible
- Trade-off between convenience and security
- Strong password policies can partially mitigate risks

Password hashing

- Users typically access E2EE storage via passwords
- Passwords must be converted to cryptographic keys
- Common approach: password hashing^a
- Popular password hashing functions:
 - **PBKDF2**: Widely deployed but aging
 - **scrypt**: Memory-hard against ASICs
 - **Argon2**: Winner of Password Hashing Competition
- KDFs slow down brute-force attacks
- Still vulnerable to dictionary attacks with weak passwords

^aThis was previously covered in our *Collision-Resistant Hash Functions* topic.

The authentication vs encryption dilemma

- Traditional services: Server stores password hash
- E2EE requirement: Server must never see encryption key
- Three common approaches:
 - **Dual-password:** Separate login and encryption passwords
 - **SRP (Secure Remote Password):** Password-authenticated key exchange
 - **Hardware-backed authentication:** Passkeys, Apple Secure Enclave, etc.
- Trade-offs:
 - Dual-password: Poor usability, users often reuse
 - SRP: Complex implementation
 - Hardware-backed: Requires specific devices/platforms
- MEGA uses custom authentication with encryption keys

The mud puddle test

- **What is the mud puddle test?**
 - Thought experiment for E2EE systems
 - “If you drop your device in a mud puddle and it’s destroyed...”
 - “And then slip in that mud puddle and suffer from password amnesia...”
 - “...can you recover your data on a new device?”
- **In true E2EE:**
 - Lost password = lost data forever
 - No backdoor for the provider
 - No “forgot password” that maintains E2EE
- **The fundamental trade-off:**
 - Security vs recoverability
 - Provider can’t help without breaking E2EE

Password recovery expectations vs reality

- **User expectations:**
 - “Forgot password” should always work
 - Data should never be permanently lost
 - Trained by non-E2EE services (Gmail, Facebook)
- **Common mitigation strategies:**
 - **Recovery keys:** Long random string users must store
 - **Social recovery:** Threshold sharing among contacts
 - **Security questions:** Weaker but familiar to users
- **Each approach has trade-offs:**
 - Recovery keys: Often lost or not backed up
 - Social recovery: Complex setup, trust issues
 - Security questions: Weak against targeted attacks

Apple's Advanced Data Protection

- Apple introduced optional E2EE for iCloud in 2023^a
- Called “Advanced Data Protection” (ADP)
- Covers most iCloud data categories:
 - Photos, Notes, iCloud Backup, Messages backup
 - iCloud Drive, Reminders, Safari bookmarks
- Apple's approach to recovery:
 - **Option 1:** User-managed recovery key
 - **Option 2:** Apple escrow (default)
 - Users must explicitly opt-in to ADP
- Fundamental tension: Security vs recoverability
- Apple chose user choice over mandatory E2EE

^a<https://support.apple.com/en-us/102651>

Multi-device key management

- Users expect seamless multi-device access
- Each device needs access to encryption keys
- Key synchronization approaches:
 - **Password-based:** Derive keys on each device
 - **Device pairing:** Transfer keys device-to-device
 - **Cloud keychain:** Encrypted key storage (circular problem)
- Additional challenges:
 - Device revocation when lost/stolen
 - Key rotation after compromise
 - Offline device synchronization

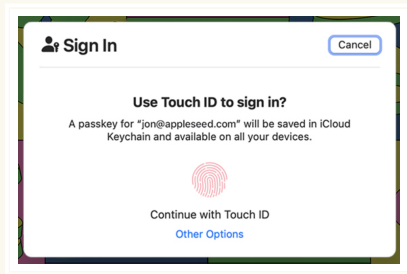
Research directions in usable key management

- **Threshold cryptography:** Split keys across multiple locations
- **Hardware tokens:** FIDO2/WebAuthn/Passkeys for encryption key storage
- **Biometric key derivation:** Fuzzy extractors from fingerprints
- **Social key recovery:** Friends/family as key custodians
- Open problems:
 - Balancing security with user-friendliness
 - Recovery without trusted third parties
 - Protecting against coercion/rubber-hose attacks
- Most solutions add complexity or trust assumptions

Passkeys: A new authentication paradigm

Quick aside

- **Passkeys** are a password replacement based on WebAuthn/FIDO2
- Built on public-key cryptography:
 - Private key stored securely on device
 - Public key registered with service
 - Authentication via cryptographic signatures
- Key advantages over passwords:
 - Phishing-resistant by design
 - No shared secrets with server
 - Automatic strong credentials
- Apple: iCloud Keychain, Microsoft: Windows Hello...



Passkey dialog on macOS.

WebAuthn PRF: symmetric keys from passkeys

Quick aside

- WebAuthn's **PRF (Pseudo-Random Function)** extension enables key derivation
- Key derivation process:
 - PRF can be evaluated during credential creation/assertion
 - Produces 32-byte outputs suitable for encryption keys
 - Supports two inputs per operation (for key rotation)
- Implementation typically uses HMAC-SHA256 internally

Using passkeys for key management

Quick aside

- Potential architecture combining passkeys with E2EE:
 - User authenticates with passkey (no password needed)
 - PRF extension derives encryption keys on-demand
 - Keys never leave the authenticator/device
- Benefits:
 - No password-derived keys (stronger security)
 - Hardware-backed key storage
 - Seamless multi-device via platform sync
- Current limitations:
 - PRF extension not universally supported
 - Security keys may not support PRF evaluation at creation
- Represents potential future direction for usable E2EE key management and authentication more generally

File sharing challenges

- Primary feature: Sharing files with selected users
- Recipients need decryption keys
- Keys cannot be sent unprotected via untrusted provider
- Common solutions:
 - Encrypt file key under recipient's public key
 - Use out-of-band mechanisms

E2EE cloud storage providers

- Major providers:
 - MEGA: 300M users, 150B files, 1000 PB data
 - Nextcloud
 - Apple iCloud (optional E2EE since 2023)
- Smaller providers:
 - Icedrive, pCloud, Seafiler, Tresorit
 - Tens of millions of users collectively

Security concerns with current E2EE providers

- Recent analyses found attacks on MEGA and Nextcloud
- Both providers use complex, ad-hoc cryptographic designs
- Lack formal security guarantees
- MEGA's challenges:
 - Migration infeasible - requires user participation
 - Initial minimal patches proved insufficient
 - Required second round of complex patching
- Nextcloud's response:
 - Forced to disable E2EE file sharing entirely
 - Significant feature regression
 - Required full redesign

Current state of E2EE Cloud Storage

- Most providers rely on proprietary, unanalyzed designs
- Highlights need for formally analyzed cryptographic designs
- Security confidence lags behind E2EE messaging and browsing
- Less design input from cryptographic research community
- Need for standardized, proven security approaches
- **In this topic, we'll cover:**
 1. What went wrong with MEGA
 2. What went wrong with Nextcloud
 3. A quick look at WhatsApp encrypted cloud backups
 4. An attempt by cryptographers to design a provably secure E2EE Cloud Storage protocol

Section 2

Attacks on MEGA and Nextcloud

Section 2

Attacks on MEGA and Nextcloud

Subsection 2.1

Attacks on MEGA

MEGA: Overview

- Founded in 2013 by Kim Dotcom (post-Megaupload)
- One of the largest E2EE cloud storage providers
- **Key statistics:**
 - Over 300 million registered users^a
 - 150+ billion files stored
- **Core features:**
 - Client-side encryption before upload
 - Secure file sharing via encrypted links
 - Cross-platform support (web, desktop, mobile)
 - Free tier with 20 GB storage
- All encryption performed in JavaScript (web client)

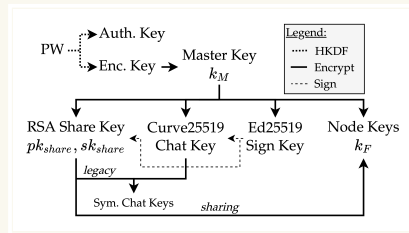
^a<https://blog.mega.io/mega-reaches-300-million-users-milestone>



MEGA's logo.

MEGA: Key hierarchy

- Password serves as root of trust for entire key hierarchy
- Key derivation from password:
 - **Authentication key:** Identifies user to MEGA
 - **Encryption key:** Encrypts the master key
- **Master key:** Randomly generated, encrypts all other keys

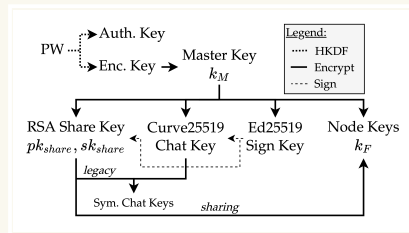


MEGA's key hierarchy. The master key encrypts the share, chat, sign and node keys using AES-ECB. Source:

<https://appliedcryptography.page/paper/#mega-awry>

MEGA: Key hierarchy

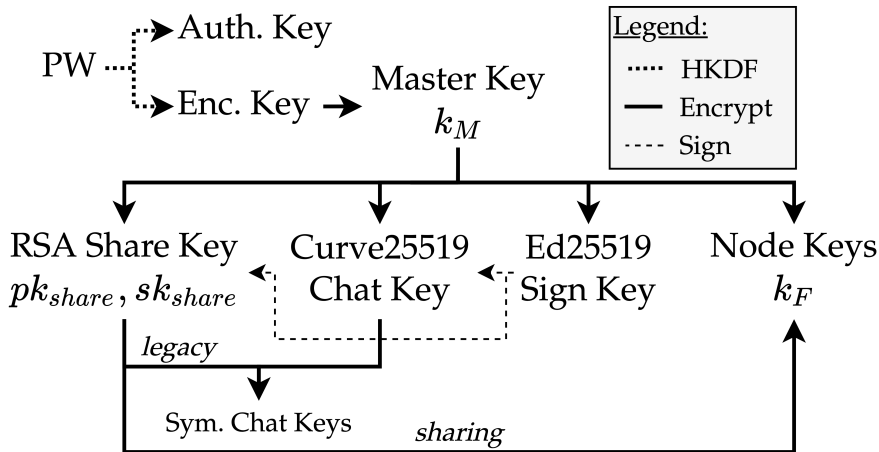
- Asymmetric key pairs for each account:
 - **RSA key pair:** For data sharing
 - **Curve25519 key pair:** For chat key exchange
 - **Ed25519 key pair:** For signing other keys
- **Per-node keys:** New key for each file/folder
- All keys encrypted with master key using AES-ECB
- Encrypted keys stored on MEGA servers
- Enables multi-device access with password only



MEGA's key hierarchy. The master key encrypts the share, chat, sign and node keys using AES-ECB. Source:

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MEGA: Where's the attack?



MEGA's key hierarchy. The master key encrypts the share, chat, sign and node keys using AES-ECB. Source:

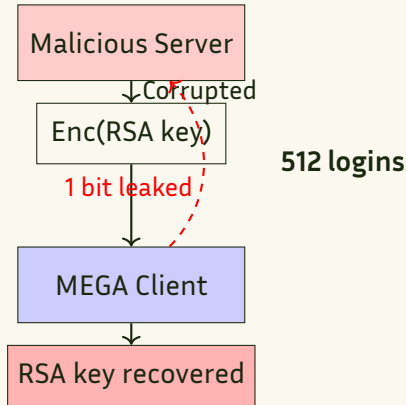
<https://appliedcryptography.page/paper/#mega-awry>

MEGA: Key hierarchy

- Password-to-key derivation
- MEGA uses HKDF for deriving keys from password
- **Problem:** HKDF is not a password hash!
 - HKDF designed for key derivation from high-entropy inputs
 - No computational hardness against brute-force
 - Passwords have low entropy
- **Should use:** Argon2, scrypt, or PBKDF2
 - Memory-hard (Argon2, scrypt) or iterative (PBKDF2) functions
 - Configurable iteration counts
 - Resistance to GPU/ASIC attacks (especially memory-hard functions)
- Enables offline dictionary attacks on user passwords

Attack 1: RSA key recovery attack

- **Target:** User's RSA private key (for sharing)
- **Exploit:** No integrity protection on encrypted RSA key
- **Attack vector:**
 - Malicious server modifies encrypted RSA key
 - Client decrypts corrupted key
 - RSA-CRT implementation leaks information
- **Oracle construction:**
 - Each login attempt leaks 1 bit
 - About RSA modulus factors



Attack 1: High-level overview

- **Threat model:** Malicious service provider controls MEGA infrastructure
- **Attack strategy:**
 1. Modify encrypted RSA private key (no integrity protection)
 2. Use modified key to create decryption oracle
 3. Binary search to recover RSA prime factor
- **Key insight:** RSA-CRT implementation leaks information
 - Modified key causes different behavior for $m < q$ vs $m \geq q$
 - Where q is one of the RSA primes
 - Observable through session ID responses
- **Attack efficiency:**
 - Binary search requires ~ 512 login attempts^a
 - Each login leaks 1 bit of information about q

^aLater improved to 2 logins: <https://appliedcryptography.page/paper/#mega-recovery>

Attack 1: The decryption oracle

- **Setup:**

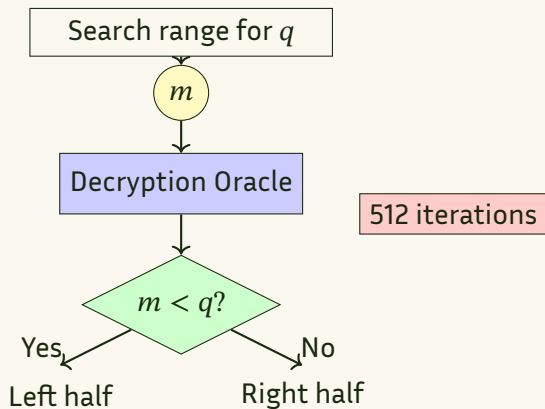
- Server sends corrupted RSA key
- Key has modified
$$u' \neq u = q^{-1} \bmod p$$

- **Oracle mechanism:**

- Server chooses message m
- Sends encrypted $[m]_{pk}$ as session ID
- Client decrypts with corrupted key

- **Observable behavior:**

- If $m < q$: Returns $\text{sid}' = 0$
- If $m \geq q$: Returns $\text{sid}' \neq 0$



Quick reminder: What does x^{-1} mean?

In modular arithmetic:

- x^{-1} is the **modular inverse** of x
- It's the number that, when multiplied by x , gives 1
- $x \cdot x^{-1} \equiv 1 \pmod{n}$

Example:

- If $x = 3$ and $n = 7$
- Then $x^{-1} = 5$ because $3 \cdot 5 = 15 \equiv 1 \pmod{7}$

In group elements:

- If $A = g^a$, then $A^{-1} = g^{-a}$
- $A \cdot A^{-1} = g^a \cdot g^{-a} = g^{a-a} = g^0 = 1$
- It's the element that "cancels out" A

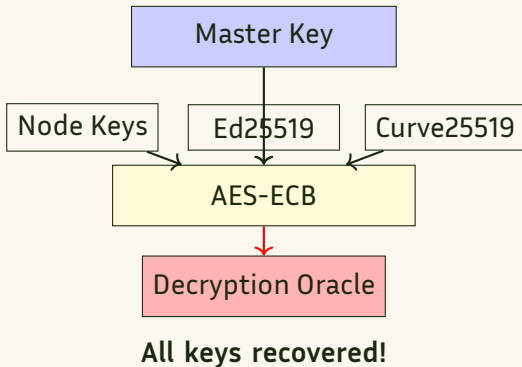
Key property

$$(A^c)^{-1} = A^{-c}$$

This is why we can rewrite expressions!

Attack 2: Plaintext recovery attack

- **Goal:** Decrypt any AES-ECB ciphertext under master key
- **Impact:**
 - All node keys (file/folder encryption)
 - Ed25519 signing key
 - Curve25519 chat key
 - Complete confidentiality breach
- **Attack requirements:**
 - RSA key from Attack 1
 - Ability to modify key ciphertexts
 - Control authentication plaintexts



MEGA's patches: A cautionary tale

- **MEGA's response to attacks:** Added sanity checks instead of proper fixes
- **New paper (2023):** "Caveat Implementor! Key Recovery Attacks on MEGA"^a
- **Key findings:**
 - MEGA's patches introduced *new* vulnerabilities
 - Detailed error reporting became an attack vector
- **The irony:** Ad-hoc fixes to ad-hoc designs created more problems
 - ECB encryption oracle in MEGAdrop feature
 - Distinguishable error messages leak information
 - Patches made attacks *easier*, not harder
- **Contrast with Nextcloud:** Had the wisdom to pause and redesign
- **Lesson:** Band-aid fixes to broken crypto are dangerous!

^a<https://appliedcryptography.page/paper/#mega-recovery>

MEGA attacks: Summary

Note: Due to time constraints, we won't dive into the details of each attack

- **Attack 1 (RSA Key Recovery):** Exploit missing integrity protection to recover RSA private key in 512 logins^a
- **Attack 2 (Plaintext Recovery):** Use recovered RSA key to build AES-ECB decryption oracle for all encrypted keys

- **Attack 3a (File Integrity - Oracle):**
Forge files using decryption oracle to frame users with malicious content
- **Attack 3b (File Integrity - Key Reuse):**
Forge files without oracle by exploiting MEGA's key obfuscation scheme
- **Attack 4 (RSA Decryption):**
Bleichenbacher's attack on PKCS#1 v1.5 to decrypt RSA-encrypted keys

^aLater improved to 2 logins:
<https://appliedcryptography.page/paper/#mega-recovery>

MEGA attacks: Summary

Attack	Attempts	Prerequisites	Impact
RSA Key Recovery	2 logins	None	Share keys compromised
Plaintext Recovery	Varies	Attack 1	All keys compromised
Integrity Attack A	1	Attack 2	File forgery
Integrity Attack B	1	One AES block	File forgery
RSA Decryption	2^{17}	Weaker model	Chat/node keys

Root causes:

- No authenticated encryption (AES-ECB without MAC)
- Key reuse across different contexts
- Legacy cryptography (PKCS#1 v1.5)
- **Complex, ad-hoc design without formal analysis!**

Section 2

Attacks on MEGA and Nextcloud

Subsection 2.2

Attacks on Nextcloud

Nextcloud: Overview

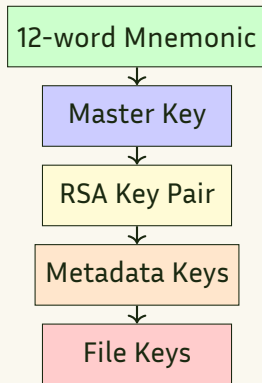
- Open-source self-hosted cloud storage platform
- Founded in 2016 (fork of ownCloud)
- **Key statistics:**
 - 20+ million users (2017)
 - 400,000+ deployments (2022)
 - Used by German government, Amnesty International
- **E2EE claims:**
 - “Zero Knowledge” server
 - Secure against full server breach
 - Enterprise-grade encryption



Nextcloud's logo.

Nextcloud: E2EE Design

- E2EE is **not enabled by default**
- Users must manually mark folders as E2EE
- **Encryption approach:**
 - Each file: AES-GCM with unique key
 - File keys encrypted by metadata key
 - Metadata keys encrypted by RSA-OAEP
- **Key rotation support:**
 - Array of metadata keys per folder
 - Uses highest-indexed key for encryption
 - Re-encrypts on each sync



Nextcloud: Key hierarchy

- **Mnemonic (top level):**
 - 12 random words
 - Generated by client
 - User must memorize/store
- **Master key:**
 - Derived from mnemonic
 - Encrypts RSA private key
- **RSA key pair:**
 - Public key stored in clear
 - Private key encrypted on server
 - Used for sharing folders
- **Metadata keys:**
 - One per E2EE folder
 - Encrypted with RSA-OAEP
 - Encrypts file keys and metadata
- **File keys (bottom level):**
 - Unique per file
 - Random 128-bit AES key
 - Encrypted by metadata key

Nextcloud vulnerabilities: Overview

Three critical vulnerabilities found:^a

1. Key Insertion Attack

- Server can substitute metadata keys
- Exploits lack of authentication in RSA-OAEP

2. Ghost Key Attack

- Forces client to use all-zero encryption key
- Exploits missing bounds checking

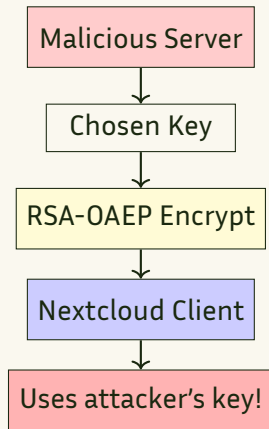
3. IV Reuse in AES-GCM

- Same IV used when files are modified
- Enables plaintext recovery and forgery

^a<https://appliedcryptography.page/paper/#nextcloud-break>

Attack 1: Key Insertion Attack

- **Root cause:** RSA-OAEP provides confidentiality but **not authentication**
- **Attack scenario:**
 1. Server creates chosen metadata key
 2. Encrypts it with user's RSA public key
 3. Places ciphertext in user's folder
 4. Triggers key rotation
- **Impact:**
 - Server knows metadata key
 - Can decrypt all file keys
 - Can insert/modify files

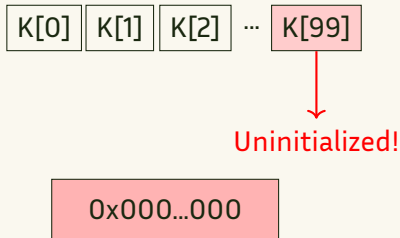


The authentication problem in public key encryption

- **What RSA-OAEP provides:**
 - Confidentiality: Only private key holder can decrypt
 - Chosen-ciphertext security (IND-CCA2)
- **What RSA-OAEP does NOT provide:**
 - Authentication: No proof of who created the ciphertext
 - Anyone with public key can encrypt
- **Nextcloud's assumption:**
 - "Only legitimate users will encrypt metadata keys"
 - But server has all public keys!
- **Solution approaches:**
 - Digital signatures on encrypted keys
 - Authenticated encryption (e.g., signcryption)
 - Key exchange protocols instead of PKE

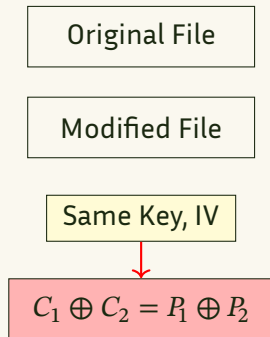
Attack 2: Ghost Key Attack

- **Vulnerability:** Missing bounds checking on metadata key array
- **Attack mechanism:**
 1. Server modifies key index
 2. Points to non-existent entry
 3. Client allocates default key
 4. Default is all zeros!
- **Result:**
 - Files encrypted with known key (0x00 ...)
 - Complete confidentiality loss
 - Trivial file forgery



Attack 3: IV Reuse in AES-GCM

- **Critical flaw:** Same IV used when file is modified
- **AES-GCM requirement:** Never reuse IV with same key
- **Consequences of IV reuse:**
 - Keystream repeats
 - XOR of plaintexts revealed
 - Authentication key recovery
- **Attack scenarios:**
 - **Plaintext recovery:** If attacker knows one version
 - **Forgery:** Create valid ciphertexts



Plaintext revealed!

Nextcloud's response

- **Initial patches:**
 - Added bounds checking (Ghost Key)
 - Generate new IV on file modification
 - But Key Insertion attack remained...
- **Drastic measure (2023):**
 - **Disabled E2EE file sharing entirely**
 - Could not fix authentication issues
 - Major feature regression
- **Lessons learned:**
 - Ad-hoc crypto designs are dangerous
 - Retrofitting security is difficult
 - Need formal analysis before deployment
 - Authentication is as important as confidentiality

Comparing MEGA and Nextcloud failures

MEGA

- No authenticated encryption
- Complex key hierarchy
- ECB mode usage
- Legacy crypto (PKCS#1 v1.5)
- Patches partially successful

Nextcloud

- Missing authentication
- Implementation bugs
- IV reuse in AES-GCM
- Bounds checking errors
- Had to disable features

Common theme: Complex, ad-hoc designs without formal security analysis!

Section 2

Attacks on MEGA and Nextcloud

Subsection 2.3

Additional Ecosystem Analysis

Additional attacks in the ecosystem (2024)

- Recent comprehensive analysis of 5 major E2EE providers^a
- Collectively serving 22+ million users
- **Key finding:** Widespread cryptographic failures across ecosystem
- **Common patterns:**
 - Unauthenticated key material (Sync, pCloud)
 - Unauthenticated encryption modes (Icedrive, Seafle)
 - Missing integrity protection
 - Protocol downgrade attacks
- **Impact:** Most “secure” providers fail basic security requirements

^a<https://appliedcryptography.page/paper/#cloud-broken>

Attack highlights: Breaking confidentiality

- **Key replacement attacks**

- Sync/pCloud: No authentication of public key encrypted material
- Server replaces user keys with attacker-controlled keys
- All future uploads compromised

- **Protocol downgrade (Seafile)**

- Forces client to use weak KDF
- 3 iterations of SHA1 instead of PBKDF2
- Enables offline password cracking

- **Link sharing leakage (Sync)**

- Password embedded in URL path
- Sent to server on every click
- Complete confidentiality breach

- **Unauthenticated chunking**

- Seafile/pCloud: Can reorder/remove file chunks
- Icedrive: CBC mode allows controlled tampering
- Files corrupted without detection

The state of E2EE cloud storage: A broken ecosystem

- **Systemic failures across providers:**
 - 4 out of 5 analyzed providers have critical vulnerabilities
 - Only Tresorit showed reasonable security design
 - Common mistakes repeated independently
- **Root causes echo MEGA/Nextcloud:**
 - Ad-hoc cryptographic designs
 - Misunderstanding primitive guarantees
 - No formal security analysis
 - Missing authentication at multiple levels
- **Key lesson:** E2EE cloud storage is not a “solved problem”
- **Need for:** Standardized, formally analyzed protocols

Section 3

Authentication: Moving Beyond Passwords

Beyond password hashing: Zero-knowledge protocols

- Password hashing has fundamental limitations:
 - Server must receive password (or hash) to verify
 - Vulnerable to offline dictionary attacks
 - Trade-off between security and performance
- **Zero-knowledge password protocols** offer better security:
 - Server never sees password or password-equivalent
 - No offline dictionary attacks possible
 - Cryptographic proof of password knowledge

SRP (Secure Remote Password)

- Developed by Tom Wu at Stanford (1998)
- **Key properties:**
 - Password never transmitted, even encrypted
 - Mutual authentication between client and server
 - Generates session key for subsequent encryption
 - Patent-free and standardized (RFC 2945)
- **How it works:**
 - Registration: Client sends verifier derived from password
 - Authentication: Zero-knowledge proof using verifier
 - Based on discrete logarithm problem
- **Adoption:** Used by Apple iCloud, 1Password, ProtonMail

OPAQUE: Next-generation password authentication

- Developed by Jarecki, Krawczyk, and Xu (2018)
- **Advantages over SRP:**
 - Stronger security proofs in UC framework
 - Protection against pre-computation attacks
- **Key innovation:** Oblivious PRF (OPRF)
 - Server helps compute PRF without learning input
 - Prevents server from testing password guesses
- Being standardized by IETF (OPRF component: RFC 9497)
- Early adoption by WhatsApp for backup encryption

Forward secrecy in OPAQUE

- **What is forward secrecy for passwords?**
 - If server is compromised *after* authentication
 - Attacker cannot test password guesses offline
 - Past sessions remain secure even with server data
- **Contrast with traditional password hashing:**
 - Hash database breach → offline cracking possible
 - OPAQUE breach → offline cracking possible, but no pre-computation advantage
 - Past session keys remain secure (AKE forward secrecy)

Comparing authentication approaches

Password Hashing

- ✓ Simple to implement
- ✓ Well understood
- ✗ Offline attacks
- ✗ Server sees password

SRP

- ✓ No eavesdropper offline attacks
- ✓ Proven secure
- ~ Complex protocol
- ✗ Pre-computation attacks

OPAQUE

- ✓ Strongest security
- ✓ Forward secrecy
- ✗ New protocol
- ✗ Limited deployment

For E2EE storage: Can derive encryption keys from authentication protocol outputs

OPAQUE: How it works under the hood

- **OPAQUE combines three key components:**
 - **OPRF (Oblivious PRF):** Server helps compute function without seeing input
 - **Authenticated Key Exchange:** Derives session keys after password verification
 - **Password hardening:** Makes brute-force attacks computationally expensive
- **The magic:** Server stores a “password file” but:
 - File doesn’t contain password or hash
 - Server can’t test password guesses offline
 - Client proves password knowledge without revealing it
 - You could even say they perform a *zero knowledge proof*!

What is an OPRF?

Oblivious Pseudorandom Function

- **Definition:** A two-party protocol where:
 - Client has input x
 - Server has key k
 - Client learns $F(k, x)$ and nothing else
 - Server learns nothing about x
 - You could even say they perform a *multi-party computation*!
- **Key properties:**
 - **Oblivious:** Server doesn't learn client's input
 - **Verifiable (VOPRF variant):** Client can verify correct computation
 - **Deterministic:** Same input always gives same output

OPAQUE Registration: Step by step

Client actions:

1. Choose password pw
2. Run OPRF with server:^a
 - Send blinded $H(pw)^r$
 - Get back $(H(pw)^r)^k$
 - Unblind:
$$rwd = ((H(pw)^r)^k)^{1/r} = H(pw)^k$$
3. Generate random private key sk_c
4. Encrypt: $env = \text{Enc}(rwd, sk_c)$
5. Send (env, pk_c) to server

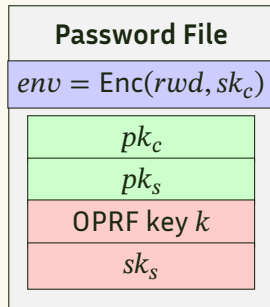
^aHere, our chosen OPRF operates in a cyclic group $\mathbb{G}$ of prime order q . The blinding factor r is sampled uniformly at random from $\mathbb{Z}_q$, and k is the server's OPRF key. I just made this OPRF up for the purposes of this slide and I don't know if it's secure (it probably is?)

Server actions:

1. Generate OPRF key k
2. Respond to OPRF:
 - Receive blinded value
 - Return $(blinded)^k$
3. Generate key pair (sk_s, pk_s)
4. Store password file:
 - Client's env (encrypted)
 - Client's pk_c
 - Own sk_s, pk_s
 - OPRF key k

What's in the password file?

- **Client's envelope (env):**
 - Encrypted with $rwd = H(pw)^k$
 - Contains client's private key sk_c
 - Server can't decrypt without password
- **Public keys:**
 - Client's pk_c (for key exchange)
 - Server's pk_s (for authentication)
- **Server's secrets:**
 - OPRF key k (for password evaluation)
 - Server private key sk_s



*No password
or hash stored!*

OPAQUE login (after registration)

1. Client starts OPRF:

- Blinds password: $\alpha = H(pw)^r$
- Sends α to server
- Note: This r is freshly randomized - different from registration and each login

2. Server responds:

- Computes $\beta = \alpha^k = H(pw)^{rk}$
- Sends back β and encrypted envelope env

3. Client recovers private key:

- Unblinds: $rwd = \beta^{1/r} = H(pw)^k$
- Decrypts: $sk_c = \text{Dec}(rwd, env)$
- If wrong password, decryption fails!

4. Authenticated key exchange:

- Client and server run AKE using their key pairs
- Derives session key and export key
- Mutual authentication achieved

Why can't the server test passwords?

What the server sees:

- Random group element α
- No relation to password visible
- Different α each login (random r)
- Can't extract $H(pw)$ from α

What prevents offline attacks:

- Server doesn't know $H(pw)$
- Can't verify guesses without client
- Each guess requires online interaction
- Rate limiting becomes enforceable

Key insight: The OPRF makes the server “blind” to the password while still enabling authentication

OPAQUE's security guarantees

Against server compromise:

- ✓ No pre-computation advantage
- ✓ Forward secrecy for session keys
- ✓ Past sessions remain secure

Against active attacks:

- ✓ Mutual authentication
- ✓ Key confirmation
- ✓ Protection from phishing

Bonus: Provides both authentication *and* key derivation - perfect for E2EE storage!

Section 4

Case Study: WhatsApp End-to-End Encrypted Backups

Section 4

Case Study: WhatsApp End-to-End Encrypted Backups

Subsection 4.1

WhatsApp's Design

WhatsApp End-to-End Encrypted Backups: Overview

- WhatsApp messages have been E2EE since 2016
- **Problem:** Backups in iCloud/Google Drive were not E2EE
- **Solution (2021):** End-to-end encrypted backups
- **Key innovation:** HSM-based Backup Key Vault
 - Hardware Security Module for key storage
 - Password-protected key recovery
 - Brute-force protection
- **User choice:**
 - Password-based recovery (via HSM)
 - 64-digit key (user manages)



WhatsApp logo.

The backup encryption challenge

- **User expectations:**
 - Recover chats after losing phone
 - Transfer chats to new device
 - No complex key management
- **Security requirements:**
 - WhatsApp cannot read backups
 - Cloud providers cannot read backups
 - Protection against brute-force attacks
- **Traditional approach:** Trust cloud provider
- **WhatsApp's approach:** Client-side encryption with secure key recovery

Hardware Security Modules (HSMs)

What are they?

- **Definition:** Dedicated cryptographic processors designed for key protection
- **Key features:**
 - Hardware-based key storage and generation
 - Tamper-resistant physical security
 - Cryptographic operations in secure boundary
 - FIPS 140-2 Level 3/4 certified
- **Security properties:**
 - Keys never exist in plaintext outside HSM
 - Physical intrusion triggers key deletion
 - Rate limiting and access controls
 - Audit logging of all operations
- **Common uses:**
 - PKI root certificate authorities
 - Payment card industry (PIN verification)
 - Database encryption key management
 - Code signing for software integrity

Signal's SVR3: Multi-enclave key recovery

Quick aside

- Signal faced same challenge: E2EE backups need secure key recovery
- **SVR3 (Secure Value Recovery 3)^a**: PIN-based key recovery
 - Distributes trust across 3 different hardware enclaves
 - Intel SGX (Azure), AMD SEV-SNP (Google Cloud), Nitro (AWS)
 - Attacker must compromise ALL three to access keys
- **Key features:**
 - Uses Password Protected Secret Sharing (PPSS)
 - Limits PIN guesses via secure hardware
 - No single point of failure
 - Cost: \$0.0025/user/year
- Already deployed to millions of Signal users

^a<https://appliedcryptography.page/paper/#signal-recovery>

WhatsApp Encrypted Backups: System architecture

- **Client side:**

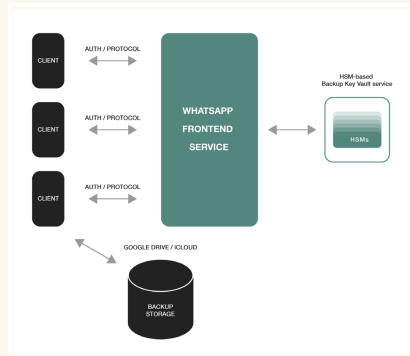
- $K \leftarrow \{0, 1\}^{256}$
- Encrypts backup with K
- Uploads to iCloud/Google Drive

- **WhatsApp infrastructure:**

- Front-end service (ChatD)
- HSM-based Backup Key Vault
- Geographically distributed

- **Security properties:**

- Cloud provider sees only ciphertext
- K never leaves client unencrypted
- Password never known to WhatsApp



Source: <https://appliedcryptography.page/paper/#whatsapp-backups>

HSM-based Backup Key Vault

The safe deposit box analogy

Traditional Bank Safe Deposit Box

- User has unique key
- Bank cannot open box
- Requires physical presence
- Lost key = lost contents

WhatsApp's Key Vault

- Password protects key
- WhatsApp cannot access
- Remote recovery possible
- Password attempts limited

Now the problem becomes: how to store encrypted K ?

- WhatsApp uses OPAQUE for password-based key storage
- **Key properties of OPAQUE:**
 - Server never learns password
 - No offline dictionary attacks
 - Derives encryption key from password
 - Strong security proofs

- **How it works:**

- Registration: Client creates password-protected record
- Retrieval: Client proves password knowledge
- Server helps compute key without learning password

- **Advantage over simple password hashing:**

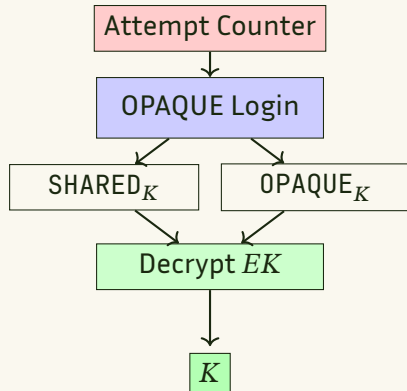
- HSM enforces rate limiting
- No password-equivalent stored

Registration process

1. User enters password
2. Client starts OPAQUE registration
3. Server returns registration response + signature
4. Client completes registration:
 - Derives OPAQUE_K
 - Sends $\text{AES-GCM}(\text{OPAQUE}_K, K)$ to server
5. Server stores encrypted record

Key retrieval process

1. Client initiates OPAQUE login with password
2. Server decrements attempt counter
 - Enforced via HSM
3. Server returns credential response
4. Client completes login:
 - Derives SHARED_K and OPAQUE_K
 - Sends finalization message
5. Server returns encrypted key (EK)
6. Client decrypts:
 - First with SHARED_K
 - Then with OPAQUE_K
 - Recovers backup key K



Security features

Brute-force protection

- HSM enforces attempt limits
- After threshold: Key permanently inaccessible
- Rate limiting in hardware

Infrastructure resilience

- 5-datacenter deployment
- Majority consensus system
- Tolerates multiple failures
- Geographic distribution

Transport security: Noise Protocol Framework for client-server communication (here used as an alternative to TLS, but in reality it's a whole thing that lets you design a wide variety of protocols)

Alternative: User-managed 64-digit key

- **For users who prefer full control:**
 - 64-digit encryption key option
 - Key never sent to WhatsApp
 - User must store key securely
- **Trade-offs:**
 - ✓ Maximum security - no trust required
 - ✓ No brute-force risk
 - ✗ User responsibility for key management
 - ✗ Lost key = lost backups forever
- **Recommendation:** Only for technically sophisticated users

WhatsApp's design principles

- **Use proven protocols:** OPAQUE for password authentication
- **Hardware security:** HSMs for tamper-resistant key storage
- **Defense in depth:**
 - Client-side encryption
 - Zero-knowledge password protocol
 - Rate limiting in hardware
 - Geographic distribution
- **User choice:** Password vs self-managed key
- **Clear threat model:**
 - Protects against cloud provider access
 - Protects against WhatsApp compromise
 - Limits brute-force attacks

Lessons from WhatsApp's approach

What they did right:

- Used established OPAQUE protocol
- Hardware-backed security
- Simple, clear design
- Published detailed whitepaper
- Gradual rollout with testing

Key takeaways:

- Don't reinvent authentication
- User education is crucial
- Transparency builds trust
- Complexity should be hidden

Compare with MEGA/Nextcloud: Standard protocols vs. custom designs

Section 4

Case Study: WhatsApp End-to-End Encrypted Backups

Subsection 4.2

Critiquing WhatsApp's Design

Specification ambiguity: A major flaw

- **The problem:** WhatsApp's specification is ambiguous about OPAQUE_K
- **Two possible interpretations:**
 - **Option 1:** OPAQUE's export key (client-only secret)
 - **Option 2:** OPAQUE's shared session key (known to both parties)
- **Why this matters:**
 - If Option 2: Server learns OPAQUE_K
 - Server could decrypt backup key directly!
 - Completely breaks the security model
- **This type of ambiguity is dangerous:**
 - Different implementations may choose differently
 - Security analysis becomes impossible
 - Opens door to implementation vulnerabilities
- **Lesson:** Cryptographic specifications must be *unambiguous*

Critical limitation: Trust in WhatsApp's infrastructure

- **The fundamental trust problem:**
 - WhatsApp claims to use HSMs, but users cannot verify
 - HSMs are owned and operated by WhatsApp
 - No independent audit or verification possible
 - Could be software emulation instead
- **What users must trust:**
 - WhatsApp actually deployed HSMs as described
 - HSMs are configured correctly
 - Rate limiting is enforced as claimed
 - WhatsApp doesn't have backdoor access

The HSM security theater problem

What WhatsApp claims:

- Hardware-enforced rate limiting
- Tamper-resistant key storage
- Geographic distribution
- No backdoor access

What users can verify:

- Nothing!
- No attestation provided
- No third-party audits
- Closed-source implementation

Potential vulnerabilities in WhatsApp's design

- **Silent key escrow:**
 - HSM could have backdoor for data extraction
 - HSM could literally be one guy in a basement memorizing everything
 - No way for users to detect this
- **Selective targeting:**
 - Different behavior for specific accounts
 - Disable rate limiting for law enforcement
 - Return fake “attempt exceeded” to user
- **Implementation substitution:**
 - Replace HSM with software for some users
 - Use weaker entropy for key generation
 - Log passwords before OPAQUE processing

The attestation problem

- **What's missing:**

- Remote attestation from HSMs
- Cryptographic proof of HSM usage
- Public audit logs
- Third-party verification

- **Technical solutions exist:**

- HSMs can provide attestation
- Intel SGX, AMD SEV offer remote attestation
- Blockchain for public audit logs

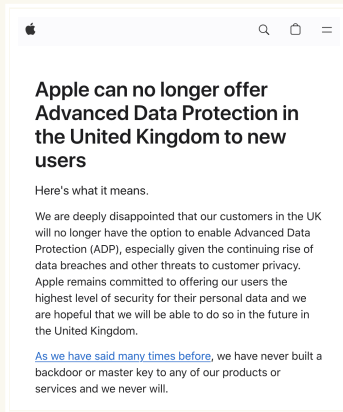
- **Why not implemented?**

- Complexity for users?
- Business reasons?
- Legal requirements?
- Law enforcement pressure?

Law enforcement pressure?



Source: Reuters



Source:

<https://support.apple.com/en-us/122234>

The 64-digit key mystery

- **Why 64 digits?**

- 64 digits = ~ 212 bits of entropy
- Much more than needed for 128-bit AES key
- Difficult for humans to manage
- Error-prone to transcribe

- **We already have better solutions:**

- BIP39 mnemonic phrases (12-24 words)^a
- Used successfully by cryptocurrency wallets
- Easier to write down and verify
- Built-in error detection

- **Possible explanations:**

- Deliberate friction to push HSM option?
- Making self-custody intentionally hard?
- Or maybe using passphrases is just hard to localize into many languages

^aArgument against: hard to localize into many languages

A more honest assessment of WhatsApp backups

- **What WhatsApp backups actually provide:**
 - Protection from cloud providers (Google/Apple)
 - Some protection from external hackers
 - Convenient key recovery
- **What they DON'T provide:**
 - Full protection from WhatsApp itself
 - Fully verifiable security guarantees
- **Alternatives:**
 - Threshold cryptography across providers
 - Client-side key derivation only
 - Transparent, auditable systems

Section 5

Designing an End-to-End Cloud Storage Protocol

Section 5

Designing an End-to-End Cloud Storage Protocol

Subsection 5.1

Lessons Learned

Lessons from MEGA and Nextcloud failures

What went wrong?

- **Ad-hoc design:** Both created custom cryptographic protocols
- **No formal analysis:** Security claims without proofs
- **Complexity spiral:** Features added without security review
- **Missing fundamentals:**
 - MEGA: No authenticated encryption
 - Nextcloud: No sender authentication
 - Both: Improper use of cryptographic primitives
- **Patch difficulties:**
 - MEGA: Multiple rounds of incomplete fixes
 - Nextcloud: Had to disable core features

The danger of ad-hoc designs

- **Common mistakes in ad-hoc designs:**
 - Misunderstanding primitive guarantees
 - Ignoring composition problems
 - No clear threat model
 - Feature creep without security analysis
- **Why it happens:**
 - Overconfidence in understanding
 - Time/resource constraints
 - Lack of cryptographic expertise
 - “It encrypts, so it’s secure”

Principles of secure protocol design

1. Start with a clear threat model

- What are you protecting against?
- What can the adversary do?
- What are acceptable trade-offs?

2. Use established cryptographic patterns

- Authenticated encryption (AES-GCM, ChaCha20-Poly1305)
- Standard key exchange (X3DH, Noise Protocol Framework)
- Proven constructions (don't invent new ones!)

3. Keep it simple

- Complexity is the enemy of security
- Each feature multiplies attack surface
- Can you explain your protocol in one page?

Reminder: formal analysis

- **What is formal analysis?**^a

- Automated using software
- Mathematical proofs of security
- Clear security definitions
- Reduction to hard problems
- Machine-verified proofs

- **Benefits:**

- Catches subtle flaws
- Provides confidence
- Clear security guarantees
- Guides implementation

^aComing soon in our upcoming topic sessions on High-Assurance Cryptography!

- **Types of analysis:**

- **Computational:** Reduction to hard problems
- **Symbolic:** Protocol logic verification
- **UC Framework:** Composable security
- **Game-based:** Step-by-step proofs

- **Tools available:**

- ProVerif, Tamarin
- EasyCrypt, CryptoVerif
- F*

Security definitions matter

MEGA's mistake: Assumed encryption provides integrity

- Used AES-ECB without MAC
- Encryption $\neq$ Authenticated encryption
- Led to complete key recovery

Nextcloud's mistake: Assumed encryption provides authentication

- RSA-OAEP only provides confidentiality
- Anyone can create valid ciphertexts
- Led to key insertion attacks

Lesson: Understand exactly what each primitive guarantees!

Protocol design methodology

- **Requirements gathering**
 - Security goals (confidentiality, integrity, authentication)
 - Functionality requirements
 - Performance constraints
- **Threat modeling**
 - Define adversary capabilities
 - Identify trust assumptions
 - Document acceptable risks
- **Protocol design**
 - Use standard building blocks
 - Create formal specification
 - Keep complexity minimal
- **Security analysis**
 - Formal proofs or verification
 - External review
 - Test edge cases

Learning from other successful protocols

- **Signal Protocol**

- Formal security proofs
- Clear threat model
- Simple, modular design
- Widely analyzed

- **WireGuard**

- Minimal codebase
- Fixed crypto choices
- Formal verification
- Clear specification

- **TLS 1.3**

- Removed legacy features
- Formal analysis during design
- Simplified handshake
- Clear security properties

- **Common themes:**

- Simplicity over features
- Formal analysis early
- Clear documentation
- Conservative choices

Key takeaways for protocol designers

- **Don't roll your own crypto**
 - Use established, analyzed protocols
 - If you must innovate, get expert review
- **Security is not just encryption**
 - Authentication, integrity equally important
 - Consider key management, revocation
- **Formal analysis is worth it**
 - Catches issues before deployment
 - Provides clear security guarantees
- **Simplicity is security**
 - Every feature adds complexity
 - Complex protocols have more bugs
- **Learn from failures**
 - Study what went wrong
 - Apply lessons to new designs

Section 5

Designing an End-to-End Cloud Storage Protocol

Subsection 5.2

A Formal Treatment of End-to-End Encrypted Cloud Storage

Next: A formal treatment from the literature

What follows is based on:

"A Formal Treatment of End-to-End Encrypted Cloud Storage"

<https://appliedcryptography.page/paper/#cloud-storage>

by Matilda Backendal, Hannah Davis, Felix Günther, Miro Haller, and Kenneth G. Paterson

- **Why this paper?**

- First comprehensive formal treatment of E2EE cloud storage
- Addresses the exact failures we've seen in MEGA/Nextcloud
- Shows how to do protocol design *right*

- **Key contributions:**

- Formal security definitions for E2EE storage
- Clean, analyzable protocol design
- Game-based security proofs

A formal treatment: Building blocks

Core cryptographic primitives:

- **PRF (Pseudorandom Function):** $F : \{0, 1\}^{\kappa} \times \{0, 1\}^* \rightarrow \{0, 1\}^{\kappa}$
- **MAC (Message Authentication Code):** For integrity verification
- **AEAD (Authenticated Encryption):** AES-GCM or ChaCha20-Poly1305
- **2HashDH OPRF:** Password hardening against offline attacks

Key insight: Use standard, proven primitives - don't invent new ones!

The 2HashDH OPRF: Motivation

- **Problem:** How to derive keys from passwords without server learning them?
- **Challenge:** Server needs to help with computation, but shouldn't learn password
- **Solution:** Oblivious Pseudorandom Function (OPRF) (also used by OPAQUE)
 - Client has secret input (account ID + password)
 - Server has key k
 - Together compute $F(k, \text{input})$ without server learning input
- **In our protocol:**
 - Client generates OPRF key during registration
 - Sends key to server (ensures honest key generation)
 - Later uses OPRF to derive keys from password

The 2HashDH OPRF: How it works

Setup: Group $\mathbb{G}$ of prime order q , hash functions H_1 and H_2 ^a

- **Goal:** Client computes $H_2(x, H_1(x)^k)$ without revealing x to server
- **Protocol steps:**
 1. Client picks random blinding factor $r \leftarrow \mathbb{Z}_q$
 2. Client sends blinded value: $\alpha = H_1(x)^r$ to server
 - Client hashes their secret input x to get $H_1(x)$, raises it to the power of r , and sends this “blinded” result to the server - the server cannot determine x from this
 3. Server computes: $\beta = \alpha^k = H_1(x)^{rk}$ and returns it
 4. Client unblinds: $\beta^{1/r} = H_1(x)^k$
 - The client removes the blinding by raising the server’s response to the power of $1/r$ (the multiplicative inverse of r), which cancels out the r in the exponent, leaving just $H_1(x)^k$
 5. Client outputs: $y = H_2(x, \beta^{1/r})$

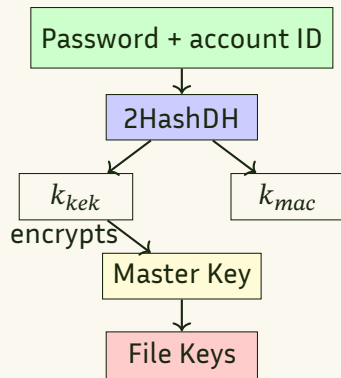
^aIdeally memory-hard and slow

The 2HashDH OPRF: How it works

- **Security properties:**
 - Server sees only random group element α (learns nothing about x)
 - Client gets consistent PRF output
 - Memory-hard hash functions prevent brute-force attacks

Scheme architecture: Clean key hierarchy

- **Password-derived keys:**
 - Raw secret rw from OPRF
 - Key encryption key k_{kek}
 - MAC key k_{mac}
- **Master key (k_{mk}):**
 - Randomly generated
 - Encrypted with k_{kek}
 - Enables password changes!
- **File keys:**
 - Unique per file
 - Encrypted with master key
 - Shared via headers



Registration and authentication flow

Registration:

1. Client samples OPRF key k , has account ID (aid)
2. Computes $rw = \text{OPRF}(aid, pw)$
3. Derives k_{kek}, k_{mac} from rw
4. Generates random master key
5. Encrypts master key with k_{kek}
6. Sends to server: aid, k, k_{mac} , encrypted master key

Authentication:

1. Client initiates OPRF with server
2. Server sends session ID (sid)
3. Client recovers rw , derives keys
4. Client MACs transcript with k_{mac}
5. Server verifies MAC
6. Server returns encrypted master key
7. Client decrypts master key

File operations: Simple and secure

Upload (put):

- Generate random file key
- AEAD-encrypt file with file key
- AEAD-encrypt file key with master key
- Store header (encrypted file key)
- Store encrypted file content

Download (get):

- Fetch encrypted header
- Decrypt file key with master key
- Fetch encrypted file
- Decrypt file with file key
- All bound to file ID via AEAD

Separating headers from content enables efficient sharing!

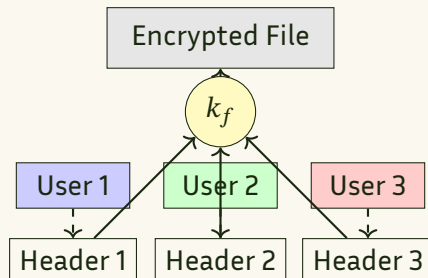
Sharing design: Each owner has their own header

- **Sharing process:**

1. Owner fetches file key
2. Shares key out-of-band
3. Server adds new owner
4. Recipient wraps key under their master key

- **Benefits:**

- No re-encryption on updates
- Independent key management
- Efficient for large files
- Password changes don't affect shares



Security properties achieved

Against malicious server:

- ✓ No offline password attacks (OPRF)
- ✓ Authenticated encryption throughout
- ✓ Unique account ID prevents correlation

Design advantages:

- ✓ Password changes without re-encryption
- ✓ Efficient file sharing
- ✓ Simple, analyzable design
- ✓ Uses only standard primitives

This scheme has formal security proofs!

Comparing with MEGA/Nextcloud

MEGA

- ✗ Custom crypto
- ✗ No AEAD
- ✗ Complex design
- ✗ No formal analysis

Nextcloud

- ✗ Missing authentication
- ✗ Implementation bugs
- ✗ Ad-hoc design
- ✗ Feature creep

This scheme

- ✓ Standard primitives
- ✓ AEAD everywhere
- ✓ Clean hierarchy
- ✓ Formal proofs

Simplicity and formal analysis make the difference!

Key takeaways

- **End-to-end encryption is hard to get right**
 - Even major companies make critical mistakes
 - Ad-hoc designs inevitably fail
 - Retrofitting security doesn't work
- **Use established cryptographic building blocks**
 - Don't roll your own crypto
 - Understand what primitives actually guarantee
 - Simplicity beats cleverness
- **Formal analysis is essential**
 - Catches subtle vulnerabilities
 - Provides clear security guarantees
 - Should be done *before* deployment
- **Trust models matter**
 - Be honest about what you're protecting against
 - Users need verifiable security, not promises
 - Transparency builds trust

And remember...

The best cryptographic protocol
is one that's
simple enough to understand
and *proven to be secure*

"Complexity is the enemy of security"





Applied Cryptography

Summer 2026

Part 2: Real-World Cryptography

2.4: End-to-End Encrypted Cloud Storage

Nadim Kobeissi

<https://appliedcryptography.page>